
BTC / USD

SMALL BODY BREAKOUT

Night Trading | SAST 00:00 - 05:00

60.7% Win Rate | 328 Signals

100% Monthly Consistency

1:1.67 Reward to Risk

DERIV | 1H TIMEFRAME | NO INDICATORS | PURE PRICE ACTION

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1. Strategy Overview

The Small Body Breakout strategy is an even simpler pattern than the Squeeze. It requires only ONE candle to generate a signal, making it the fastest and most straightforward trading approach you will ever find. The concept is this: when a candle closes with a very small body relative to its total range (less than 15% of the high-low distance), it represents a moment of market indecision. The very next candle that commits to a direction is your entry signal. You trade in the direction that the current candle is moving, capturing the resolution of that indecision. This strategy produces more signals than the Squeeze because the condition is easier to meet (only 1 candle instead of 3), and it has been validated across multiple timeframes with consistently profitable results.

The logic behind this pattern is rooted in how markets resolve uncertainty. A candle with a tiny body and long wicks tells you that buyers and sellers fought to a near-draw during that time period. Neither side won convincingly. But markets do not stay in equilibrium for long. The very next candle tends to tip the balance in one direction as one side gains the upper hand. By entering in that direction, you are essentially riding the first wave of a new commitment from market participants. The backtest results confirm this dynamic: across 1,408 total signals on the 1-hour chart (328 night + 1,080 day), the strategy achieves win rates between 60-66% with profit factors consistently above 2.5x. Cross-validation on 30-minute data shows even stronger results, with the night session reaching 65.3% win rate and a 3.14x profit factor.

2. The Rules (Even Simpler)

This strategy has only two steps. It is the simplest possible trading approach that still maintains a statistical edge. There are no indicators, no calculations beyond one simple division, and no subjective judgment calls. You either see the pattern or you do not. If you can identify a candle and divide two numbers, you can trade this strategy. It is designed for people who want a zero-stress, zero-clutter trading routine that they can execute every single day without fail.

Step-by-Step Setup Identification

Step 1: Look at the most recently CLOSED candle on your 1-hour BTC/USD chart. Measure its body (distance between open and close) and its total range (distance between high and low). Divide the body by

the range. If this ratio is less than 0.15 (the body is less than 15% of the total range), the Small Body condition is met. This candle looks like a spinning top or a long-legged doji, with wicks that are much longer than the body. It tells you the market was undecided during that hour.

Step 2: Immediately enter a trade in the direction of the CURRENT candle (the one that is still forming or has just started). If the current candle is moving upward (price is above its open), enter a BUY. If it is moving downward (price is below its open), enter a SELL. Your entry price is the open of the current candle. Set Take Profit at 0.25% from entry and Stop Loss at 0.15% from entry. This gives you a 1.67:1 reward-to-risk ratio, which is even more favourable than the Squeeze strategy. The trade should resolve within 6 candles.

Quick Reference Card

Timeframe	1-Hour (1H) candles
Asset	BTC/USD on Deriv
Condition	Previous candle body/range ratio < 0.15
Signal	Current candle direction: up = BUY, down = SELL
Entry	Open of the current candle
Take Profit	0.25% from entry price
Stop Loss	0.15% from entry price
Risk:Reward	1:1.67 (favourable)
Max Hold	6 candles (6 hours)

3. Backtest Performance

The night session backtest for the Small Body Breakout covers 1,825 night-session hourly candles over approximately 12 months, generating 328 trade signals. While the signal count is lower than the day session (which is expected given the shorter 5-hour window), the results are still strongly profitable with a 60.7% win rate and a 2.57x profit factor. The 100% monthly consistency score means that every single month in the backtest period was profitable, which is an exceptional result for any trading strategy. Walk-forward validation shows the strategy maintained its edge in both halves of the test period, with the second half actually performing better (62.8% vs 58.5%), suggesting the pattern is stable and not degrading over time.

Total Signals	328
Win Rate	60.7%
Profit Factor	2.57x

Weekly Consistency	64.8% of weeks profitable
Monthly Consistency	100.0% of months profitable
Walk-Forward: 1st Half / 2nd Half	58.5% / 62.8%

4. Risk Management

The Small Body Breakout uses a slightly wider take profit (0.25%) than the Squeeze (0.20%), which gives it a better reward-to-risk ratio of 1.67:1. This means even with a lower win rate, the strategy can be more profitable per trade because each winning trade captures more profit relative to each losing trade. However, the same risk management principles apply. Never risk more than a small percentage of your account on any single trade, always use the specified TP and SL levels, and never chase missed signals. The key to long-term success with this strategy is discipline and consistency. Take every valid signal, use the same position size, and trust the statistical edge that the backtest has confirmed over hundreds of trades.

- Risk no more than 1-2% of your account balance per trade.
- Always use TP = 0.25% and SL = 0.15% exactly as specified.
- Do not move stops or targets once the trade is live.
- Skip missed signals. Never chase a trade that has already moved.
- Maximum 5 trades per day session, 3 per night session.
- After 4 consecutive losses, pause trading until the next session.
- Use the same lot size for every trade. No scaling in or out.

5. Your Daily Routine

The night routine for the Small Body Breakout is incredibly simple because you only need to look at ONE candle to make your decision. At the start of each hour during the night session (00:00-05:00 SAST), check if the previous candle had a small body. If yes, enter immediately in the direction the current candle is moving. Set your TP and SL and you are done for that hour. This takes less than 30 seconds per check.

- 00:00 SAST: Check the candle that just closed. Is the body less than 15% of the range?
- If YES: Check the current candle. Is it going up? BUY. Going down? SELL. Enter now.
- Set TP at 0.25% and SL at 0.15%. Walk away.
- 01:00 SAST: Repeat the check. New candle just closed, is it a small body?
- Continue this process every hour until 05:00 SAST.

- 05:00 SAST: Night session complete. Review results.

6. Why This Strategy Works

The Small Body Breakout exploits the market's tendency to resolve indecision decisively. When a candle has a tiny body and long wicks, it represents a battle between buyers and sellers that ended in a near-draw. This creates a temporary equilibrium point. Markets naturally move away from equilibrium, and the next candle tends to break in one direction as one side gains conviction. By entering in the direction of that break, you are aligning yourself with the fresh momentum that follows indecision. The 0.25% take profit is designed to capture this initial momentum wave before it fades or reverses. The 0.15% stop loss protects you when the break turns out to be a fake-out, which happens approximately 34-40% of the time.

During the night session, this pattern works particularly well because the lower liquidity means that once a direction is established, there is less resistance to the initial move. There are no large institutional orders waiting to absorb the momentum, so the price tends to travel further in the breakout direction before encountering significant opposition. This is why the 30-minute timeframe shows even stronger night-session results (65.3% win rate, 3.14x profit factor) than the 1-hour timeframe, as the shorter timeframe captures these low-resistance moves more precisely.